

# Energy Prices & Economic Growth: The Difference Between Now and Then

Special Commentary

Economist(s)



[Tom Porcelli](#)



[Tim Quinlan](#)



[Shannon Grein](#)



[Nicole Cervi](#)

Between our [FAQ with the team](#) and our note on what it would take to have a [serious conversation about recession](#), we have tossed a lot at you over the last week related to the conflict with Iran. Let us provide just a bit more context around some of the numbers we've been talking about.

The reality is the U.S. economy is less sensitive to higher energy prices than it once was. In the note we penned on recession risks we referenced our model simulations that suggest a sustained 50% rise in oil prices would reduce the average annual growth rate of real personal consumption expenditures (PCE) by around one percentage point. But consider this. **We estimate that same 50% sustained rise in prices would have had about twice the effect back in the 1980s, lopping off around two percentage points off PCE growth.** In other words, back then, talk of recession would already be gathering steam, all else equal.

The country was highly energy-sensitive then, heavily reliant on imported oil and far more exposed to sudden increases in energy costs. Higher prices translated quickly into weaker real income growth, reduced consumption and slower top-line economic activity.

Things are different today. For starters, we are far more energy efficient. Back in the 1980s new cars averaged about 20mpg compared to today's 32mpg ([Figure 1](#)). Second, Households are earning more too; gasoline and even broader energy-related purchases make up a smaller share of household spending today than they once did ([Figure 2](#)). And third, the U.S. also produces more domestically meaning it is less reliant on foreign supply ([Figure 3](#)).

The bottom line is that improvements in energy efficiency, a smaller energy footprint (relative to output) and the broader U.S. transition from being a net energy importer to a net energy exporter have together reduced the direct drag on growth and particularly consumption from oil and gas price shocks.

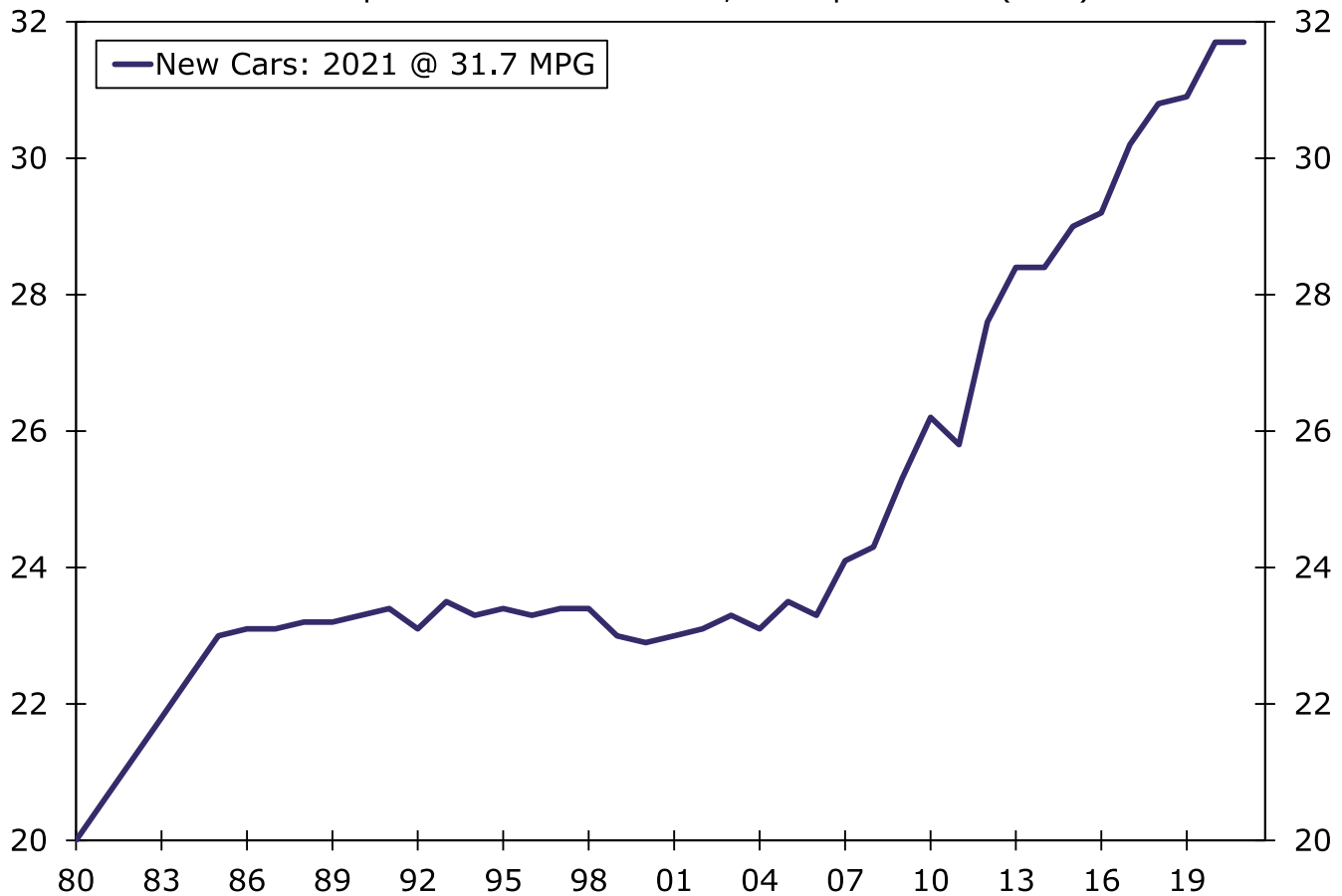
That does not mean higher prices today are painless. Energy demand remains relatively inelastic in the short run, and lower-income households remain disproportionately exposed. We've [marked down](#) our real PCE growth forecast as a result of the recent move higher in prices.

It seems prudent to again state the obvious here that this still remains an incredibly fluid situation, but at the aggregate level, the effect of higher energy prices is more likely to show up as slower consumption growth, rather than the abrupt retrenchment that characterized past oil shocks. But let's see where this goes.

Figure 1

# U.S. Production-Weighted Fuel Economy

New Imported & Domestic Cars; Miles per Gallon (MPG)



Source: U.S. Department of Transportation and Wells Fargo Economics

Figure 2

# U.S. Energy-Related Consumer Spending

Share of Total Personal Consumption Expenditures (PCE)

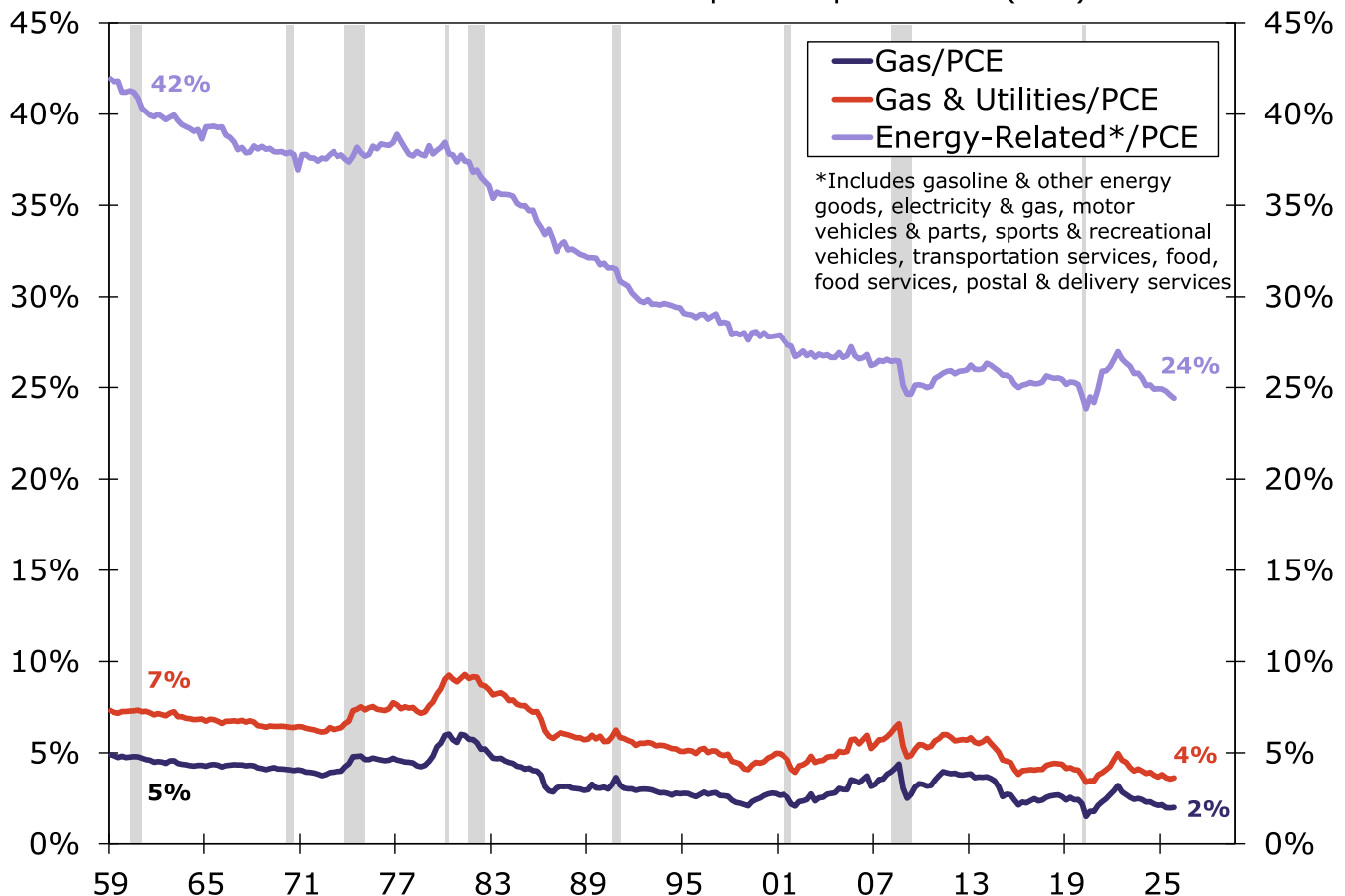
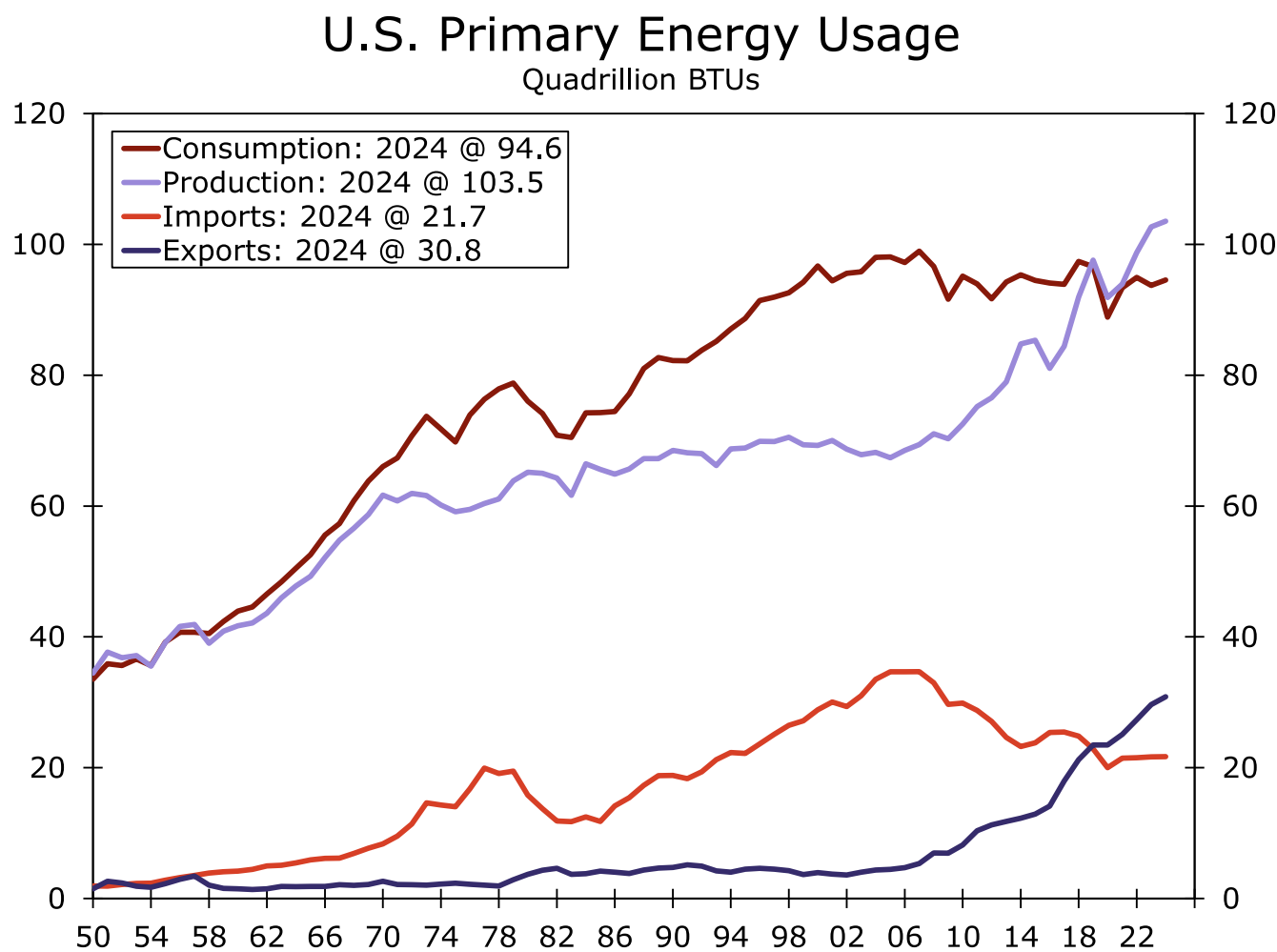


Figure 3



Source: Energy Information Administration and Wells Fargo Economics

Economics Group

|                   |                         |              |                                   |
|-------------------|-------------------------|--------------|-----------------------------------|
| Tom Porcelli      | Chief Economist         | 212-214-6422 | Tom.Porcelli@wellsfargo.com       |
| Tim Quinlan       | Senior Economist        | 704-410-3283 | Tim.Quinlan@wellsfargo.com        |
| Sarah House       | Senior Economist        | 704-410-3282 | Sarah.House@wellsfargo.com        |
| Aroop Chatterjee  | Senior Economist        | 212-214-8819 | Aroop.Chatterjee@wellsfargo.com   |
| Charlie Dougherty | Senior Economist        | 212-214-8984 | Charles.Dougherty@wellsfargo.com  |
| Michael Pugliese  | Senior Economist        | 212-214-5058 | Michael.D.Pugliese@wellsfargo.com |
| Brendan McKenna   | International Economist | 212-214-5637 | Brendan.Mckenna@wellsfargo.com    |
| Jackie Benson     | Economist               | 704-410-4468 | Jackie.Benson@wellsfargo.com      |
| Shannon Grein     | Economist               | 704-410-0369 | Shannon.Grein@wellsfargo.com      |
| Nicole Cervi      | Economist               | 704-410-3059 | Nicole.Cervi@wellsfargo.com       |
| Delaney Conner    | Economic Analyst        | 704-374-2150 | Delaney.Conner@wellsfargo.com     |
| Ali Hajibeigi     | Economic Analyst        | 212-214-8253 | Ali.Hajibeigi@wellsfargo.com      |
| Azhin Abdulkarim  | Economic Analyst        | 212-214-5154 | Azhin.Abdulkarim@wellsfargo.com   |
| Anagha Sridharan  | Economic Analyst        | 704-410-6212 | Anagha.Sridharan@wellsfargo.com   |
| Andrew Thompson   | Economic Analyst        | 704-410-2911 | Andrew.L.Thompson@wellsfargo.com  |

All estimates/forecasts are as of 3/12/2026 unless otherwise stated. 3/12/2026 12:42:59 EDT.

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Bank, N.A. ("WFBNA"). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. WFBNA distributes this report directly and through affiliates including, but not limited to, Wells Fargo Securities, LLC, Wells Fargo & Company, Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures

Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our public website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by WFBNA. WFBNA does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of WFBNA.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by WFBNA to be reliable, but has not been independently verified by WFBNA, may not be current, and WFBNA has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of WFBNA and may differ from the views and opinions of other departments or divisions of WFBNA and its affiliates. WFBNA is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither WFBNA nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. WFBNA is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

You are permitted to store, display, analyze, modify, reformat, copy, duplicate and reproduce this report and the information contained within it for your own use and for no other purpose. Without the prior written consent of WFBNA, no part of this report may be copied, duplicated or reproduced in any form by any other means. In addition, this report and its contents may not be redistributed or transmitted to any other party in whole or in part, directly or indirectly, including by means of any AI Technologies (defined below) through which this report or any portion thereof may be accessible by any third-party. "AI Technologies" means any deep learning, machine learning, and other artificial intelligence technologies, including without limitation any and all (a) proprietary algorithms, software, or systems that make use of or employ neural networks, statistical learning algorithms (such as linear and logistic regression, support vector machines, random forests or k-means clustering) or reinforcement learning, or curated data sets accessible by any of the foregoing or (b) proprietary embodied artificial intelligence and related hardware or equipment. In addition, certain text, images, graphics, screenshots and audio or video clips included in this report are protected by copyright law and owned by WFBNA, its affiliates or one or more third parties (collectively, "Protected Content"). Protected Content is made available to clients by Wells Fargo under license or otherwise in accordance with applicable law. Any use or publication of Protected Content included in this report for purposes other than fair use requires permission from WFBNA or, in the case of content attributed to any third party, the third-party copyright owner. You may not alter, obscure, or remove any copyright, trademark or any other notices attached to or contained within this report. All rights not expressly granted herein are reserved by WFBNA or the third-party providers from whom WFBNA has obtained the applicable information. © 2026 Wells Fargo Bank, N.A.

**Important Information for Non-U.S. Recipients**

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority ("FCA"). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the "Act"), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU ("MiFID2"). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. ("WFSE"). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE